The Freelancer Quarterly Tax & Expense Tracker

2026 Edition — U.S. federal deadlines, real Schedule C categories, and a self-employment tax calculator that shows its math.

Know what you owe before the IRS tells you.

Ledger & Loop Digital

How to use this guide

This guide is the reference companion to Freelancer-Tax-Tracker.xlsx. Use the guide to understand the rules; use the spreadsheet to log real numbers and get your quarterly payment estimate automatically.

This is educational reference material built from public IRS and SSA guidance for tax year 2026. It is not personalized tax advice — for anything with real financial consequences (large deductions, multi-state income, entity structure decisions), confirm with a licensed CPA or enrolled agent. What this guide gets you is the ability to walk into that conversation already organized, instead of paying an accountant to do your basic bookkeeping for you.

2026 Quarterly Estimated Tax Deadlines

If you expect to owe $1,000+ in federal tax for the year after withholding/credits, the IRS expects you to pay estimated tax quarterly — not just once at filing time. Miss a deadline and you can owe an underpayment penalty even if you pay in full by April.

Period	Covers Income Earned	Payment Due
Q1 2026	Jan 1 - Mar 31, 2026	April 15, 2026
Q2 2026	Apr 1 - May 31, 2026	June 15, 2026
Q3 2026	Jun 1 - Aug 31, 2026	September 15, 2026
Q4 2026	Sep 1 - Dec 31, 2026	January 15, 2027

Watch out: If a due date falls on a weekend or federal holiday, it pushes to the next business day. These four dates are already confirmed for 2026 — no need to double check unless you're reading this in a later year.

Self-Employment Tax, Explained With Real Numbers

As a freelancer, no employer withholds Social Security or Medicare tax for you — you pay both the employee AND employer share yourself, called self-employment (SE) tax. This is separate from, and in addition to, regular income tax.

The math (Schedule SE, 2026 figures):

1. Start with net profit from your business (income minus deductible expenses).
2. Multiply by 92.35% — this is your "net earnings from self-employment." (The 7.65% haircut roughly mirrors the employer-side deduction a W-2 employee's company absorbs.)
3. Social Security portion: 12.4% of net earnings, but only up to the 2026 wage base of $184,500 — income above that isn't subject to the Social Security portion (though it's still subject to Medicare).
4. Medicare portion: 2.9% of ALL net earnings, no cap.
5. Add an extra 0.9% Additional Medicare Tax on net SE earnings above $200,000 (single) or $250,000 (married filing jointly) — most solo freelancers won't hit this, but it's real if you do.
6. Total SE tax = Social Security portion + Medicare portion (+ Additional Medicare if applicable). Half of this total is deductible on your income tax return.

Worked example — $60,000 net profit:

Step	Calculation	Result
Net earnings from SE	$60,000 × 92.35%	$55,410
Social Security (12.4%)	$55,410 × 12.4% (under the $184,500 cap)	$6,870.84
Medicare (2.9%)	$55,410 × 2.9%	$1,606.89
Total SE tax	$6,870.84 + $1,606.89	$8,477.73
Deductible half	$8,477.73 ÷ 2	$4,238.87

The companion spreadsheet's "Quarterly Tax Estimator" tab runs this exact calculation automatically off your own net profit number — you don't need to redo this math by hand.

Schedule C Expense Categories — Freelancer Cheat Sheet

These are the actual line items from IRS Schedule C (Form 1040), with plain-English notes on what typically qualifies for a solo freelancer or independent contractor. Log expenses under these same categories in the companion spreadsheet's Expense Log tab so your totals map directly onto the form your preparer (or you) will fill out.

Advertising **(Line 8)**

What counts: Paid ads (Google, Meta, LinkedIn), sponsorships, printed business cards, portfolio site hosting bought specifically for promotion.

Freelancer note: *Your personal portfolio/website hosting and domain renewal both count here if the site exists to get you clients.*

Car and Truck Expenses **(Line 9)**

What counts: Business-related driving: client meetings, supply runs, mailing invoices. NOT your regular commute if you work from a fixed office.

Freelancer note: *Track mileage with a log (date, purpose, miles) — use either the standard mileage rate or actual expenses, not both. Keep the log even if you use software; the IRS can ask for it.*

Commissions and Fees **(Line 10)**

What counts: Referral fees you paid out, affiliate commissions, marketplace/platform fees that aren't already netted out (Upwork, Fiverr service fees, payment processor fees like Stripe/PayPal).

Freelancer note: *Double-check your platform's payout report — some platforms already deduct fees before you receive the money, which means don't double-count them.*

Contract Labor **(Line 11)**

What counts: Payments to other freelancers/subcontractors you hired to help deliver client work.

Freelancer note: *If you paid any one contractor $600+ in the year, you're generally required to send them a 1099-NEC by Jan 31.*

Depreciation & Section 179 **(Line 13)**

What counts: Big equipment purchases (computer, camera, monitor) that you elect to expense over time or all at once under Section 179.

Freelancer note: *For most solo freelancers, Section 179 lets you deduct the full cost of a laptop/camera the year you buy it instead of spreading it out — ask a tax preparer to confirm eligibility for your situation.*

Insurance (other than health) **(Line 15)**

What counts: Professional liability / errors & omissions insurance, business property insurance, equipment insurance.

Freelancer note: *Health insurance premiums are NOT here — self-employed health insurance is a separate deduction on Schedule 1, not Schedule C.*

Legal & Professional Services (Line 17)

What counts: Accountant/bookkeeper fees, lawyer fees for contracts, tax prep software or service fees for the business portion.

Freelancer note: *This is one of the most commonly under-claimed categories — freelancers forget their tax software/preparer fee itself is deductible.*

Office Expense (Line 18)

What counts: Software subscriptions (project management, design tools, invoicing apps), small office supplies, postage.

Freelancer note: *Annual SaaS subscriptions for tools you use for client work (Adobe, Notion, QuickBooks, etc.) belong here.*

Rent — Other Business Property (Line 20b)

What counts: Coworking space membership, rented studio/office space, storage unit for business equipment.

Freelancer note: *If you work from a coworking space instead of a home office, this replaces the home office deduction — don't try to claim both for the same space.*

Repairs & Maintenance (Line 21)

What counts: Repairing business equipment (laptop repair, camera servicing) — not home repairs unrelated to your workspace.

Freelancer note: *Keep the repair invoice; it needs to name the item repaired to survive a review.*

Supplies (Line 22)

What counts: Consumable materials used to do the work: printer ink, notebooks, packaging materials if you ship anything.

Freelancer note: *Different from Office Expense in IRS intent, but in practice most solo freelancers merge these two — pick one convention and stay consistent year to year.*

Taxes & Licenses (Line 23)

What counts: Business license fees, state/local business registration renewal, the employer portion equivalent isn't applicable to solo freelancers.

Freelancer note: *Your business license renewal fee and any required professional certification renewal fee both count.*

Travel (Line 24a)

What counts: Flights, hotels, and ground transportation for business trips (client visits, conferences) — the trip's PRIMARY purpose must be business.

Freelancer note: *Mixing business and personal travel? Only the business-day portion of lodging is deductible — split it by day, not by feeling.*

Meals (Line 24b)

What counts: Business meals with a client or prospect where business is actually discussed — generally 50% deductible, not 100%.

Freelancer note: *Eating alone while working from a coffee shop does NOT count. Write the client/purpose on the receipt immediately — memory fades fast.*

Utilities (Line 25)

What counts: A separate business phone line, business-only internet service if distinct from home internet.

Freelancer note: *If you use one phone/internet line for both personal and business, allocate a reasonable business-use percentage instead of claiming 100%.*

Other Expenses (Line 27a)

What counts: Bank fees on a business account, professional association dues, continuing education directly tied to your current work, business-specific books/courses.

Freelancer note: *Education to get INTO a new field is not deductible; education to stay current/improve in your existing freelance work generally is.*

The Home Office Deduction

Simplified method: $5 per square foot of dedicated office space, capped at 300 sq ft ($1,500 maximum deduction). No receipts required, but the space must be used regularly and exclusively for business.

Regular method: deduct the business-use percentage (office sq ft / total home sq ft) of rent or mortgage interest, utilities, homeowners/renters insurance, and repairs. More paperwork, often a bigger deduction if your home office is a large share of your home.

> **Watch out:** "Exclusively" is the word that gets people in trouble — a desk in the corner of a room you also use for anything else (guest bed, TV room) technically doesn't qualify. A closed-door dedicated room is the safest claim.

How Much Should You Set Aside?

A common freelancer rule of thumb is to set aside 25-30% of net profit for combined federal self-employment tax + federal/state income tax. It is a starting point, not a personalized number — your real income-tax rate depends on your filing status, total household income, deductions, and state. This tracker calculates your self-employment tax exactly (that part is pure math); it does NOT calculate your personal income tax bracket, which you should estimate with the IRS Form 1040-ES worksheet or a tax professional.

Rule-of-thumb range: **25%–30%** of net profit, set into a separate savings account the moment you get paid — not at quarter-end when it may already be spent.

Red Flags That Draw a Second Look

None of these guarantee an audit, and none of them are illegal on their own — but each is a well-documented pattern that increases scrutiny. Being aware of them helps you keep honest records that hold up.

- Claiming 100% business use of a vehicle that's obviously also your only personal car.
- Round-number expenses across the board ($500, $1,000, $1,500) instead of actual receipt totals — real expenses are rarely round.
- A home office deduction claimed alongside a separately-rented coworking space for the same period.
- Deducting the full cost of meals (100%) instead of the standard 50% limit.
- Net losses claimed year after year with no path to profitability — the IRS can reclassify a chronically unprofitable "business" as a hobby, which disallows the deductions entirely.

Using the Companion Spreadsheet

Freelancer-Tax-Tracker.xlsx has five tabs: Start Here, Income Log, Expense Log, Quarterly Tax Estimator, and Dashboard. Log every payment and expense as it happens (weekly beats quarterly — you'll forget details otherwise). The Dashboard tab pulls everything together automatically so you always know, in real time, roughly what you'd owe if this quarter ended today.

More From Ledger & Loop Digital

If this guide was useful, three more toolkits solve the other sides of running a freelance business. Look for these on the same store page you downloaded this from.

The Freelancer Invoice & Late-Payment Toolkit — $17

Covers the other half of freelance money admin: what clients owe you. A ready-to-copy 4-stage reminder email sequence, how to choose payment terms and set an enforceable late fee, and a spreadsheet that auto-flags overdue invoices.

The Small Business AI Prompt Playbook — $17

25 ready-to-use AI prompts for marketing, support, finance, hiring, and sales, plus a spreadsheet ROI tracker. For the day-to-day operating tasks this tax guide doesn't cover.

AI Prompt Playbook Vol. 2: Systems & Automation — $17

25 more prompts for turning AI into repeatable systems: automation, customer lifecycle, competitive intelligence, ops reporting, and delegation, plus a recurring-workflow ROI tracker.

Bundle tip: Get this guide and the Invoice & Late-Payment Toolkit together as The Freelancer Money Bundle for $29 instead of $36 separately, if it's still available as a bundle listing.